

SOFTWARE DEVELOPMENT AGREEMENT

GST Billing Software Project

This Software Development Agreement ("Agreement") is entered into on this ___ day of _____, 2026 ("Effective Date"), by and between:

Ramavath Nagesh ("Developer"), and **DASARI Pavankumar** ("Client"). Collectively referred to as the "Parties".

1. PURPOSE

To define terms for design, development, testing, deployment, and limited support of a GST Billing Software platform as per Annexure A (Scope of Work).

2. SCOPE OF WORK

As defined in Annexure A, including GST modules (GSTR-1, 2B, 3B, 4, 5, 6, 7, 8, 9), billing, SaaS multi-tenancy, subscription module, mobile app with barcode integration, and compliance features. GST filing will be done automatically without an auditor.

3. PROJECT VALUE & PAYMENT TERMS

3.1 Total Contract Value

INR 2,60,000 (Two Lakhs Sixty Thousand Only)

Note: The above pricing is exclusive of applicable GST.

3.2 Milestone-Based Payments

- 25% (₹65,000) – Advance (Project Kickoff)
- 15% (₹39,000) – Design Finalization of Web + App
- 15% (₹39,000) – Core Billing + GST Engine
- 10% (₹26,000) – Mobile App & Vendor Management
- 35% (₹91,000) – Testing & Deployment

3.3 Payment Conditions

- Advance payment must be released **on the day of signing this Agreement**
- All subsequent milestone payments must be cleared within **10 days from invoice date**
- Delay beyond 10 days → Developer reserves right to pause work

3.4 Delay & Interest Liability (Mutual)

- **Developer Delay:** If the project exceeds **170 working days** (excluding delays caused by Client dependencies such as approvals, data, or third-party integrations), the Developer shall be liable to pay **5% interest on the total project value for every 15 days of delay**
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4. PROJECT TIMELINE

Estimated duration: 24–28 weeks (Approx. 150–170 working days)

Delays caused by Client (approvals, data, API access) will be noted and extend timelines accordingly.

5. CHANGE REQUEST (CR)

- Any feature outside SOW = Change Request
- Separate cost & timeline approval required

- No CR work begins without written approval
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6. CLIENT RESPONSIBILITIES

Client must:

- Provide GST, business, and operational data
 - Provide API credentials (GSTN, payment gateways)
 - Ensure legal compliance of business usage
 - Approve deliverables within agreed timelines
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7. DELIVERY & ACCEPTANCE

- Developer will conduct internal QA
 - Client will perform UAT within 7 days
 - If no major issues reported → deemed accepted
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8. SUPPORT & SLA

8.1 Free Support

- 60 days post-delivery (bug fixes only)

8.2 Paid AMC (Optional)

- Monthly/Quarterly plans (separate agreement)

8.3 SLA (if AMC opted)

- Critical issues: 24–48 hrs resolution
- Minor issues: 3–5 working days

9. SUBSCRIPTION & SaaS RIGHTS

Ownership Model (Default for this deal):

- Full source code ownership transferred after 100% payment

Restriction Clause:

- The same source code developed under this Agreement shall **not be reused or resold to other clients for a period of 1 year** from project completion.

Developer Rights:

- Reuse of generic frameworks, utilities, and non-business-specific components is allowed

Optional SaaS Clause (if later converted):

- Developer may retain hosting/control under subscription model (separate agreement required)

10. COST EXCLUSIONS & THIRD-PARTY EXPENSES

The above project cost strictly covers **software development services only**

The following costs shall be **borne directly by the Client**:

- Hosting & cloud infrastructure (AWS, GCP, etc.)
- Server and database costs
- Domain purchase & renewal
- Third-party APIs (GSTN, payment gateways, SMS, email services, etc.)
- SSL certificates (if paid)
- App publishing charges:
 - Google Play Store developer account fees

- Apple App Store developer account fees
 - Any additional third-party tools, licenses, or integrations required for the project
 - Developer will assist in setup and integration, but cost responsibility remains with the Client
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10. DATA SECURITY & COMPLIANCE

- Encryption (in transit & at rest)
 - GST compliance best-effort implementation
 - Developer not liable for GST filing errors due to incorrect data input
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11. CONFIDENTIALITY (NDA)

- Both parties agree not to disclose business, technical, or financial data
 - Valid for 3 years post termination
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12. INTELLECTUAL PROPERTY

- Ownership transferred post full payment
 - Third-party APIs/tools governed by respective licenses
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13. LIMITATION OF LIABILITY

- Maximum liability capped at **100% of project value (₹2.6L)**
- No liability for indirect or consequential losses

14. TERMINATION

Cancellation by Client:

- If Client cancels the project after signing the Agreement, **no payments made shall be refunded**
- 15 days written notice

Breach of Contract:

- In case of breach by Client, Developer reserves the right to terminate the Agreement and retain all payments received

Settlement:

- Work completed till date will be billed
 - Deliverables shared only after payment clearance
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15. FORCE MAJEURE

No liability for delays due to events beyond control (natural disasters, govt actions, outages).

16. GOVERNING LAW

Applicable laws: India

Jurisdiction: **All over India**

17. DISPUTE RESOLUTION

- Mutual discussion first
 - If unresolved → Arbitration (Indian Arbitration Act)
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18. COMPANY NAME TRANSFER CLAUSE

- This Agreement may initially be executed in an individual name
 - Upon company registration or formalization, this Agreement shall be **legally transferred to the company name (registered entity)** without altering terms or obligations
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19. ENTIRE AGREEMENT

Includes this Agreement + Annexure A (SOW)

20. SIGNATURES

For Ramavath Nagesh

Name: _____

Signature: _____

Date: _____

For Client (Dasari Pavan Kumar)

Name: _____

Signature: _____

Date: _____

ANNEXURE A

SCOPE OF WORK

Deliverables:

- Architecture & API design document
 - Database schema (normalized, normalized for GST compliance)
 - DevOps setup (Kubernetes, CI/CD pipelines)
 - Security framework & encryption policies Testing strategy & QA framework
 - Compliance checklist (Data Protection Act, GST compliance, RBI guidelines)
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Feature: Bill Management

Bill CRUD Operations

- Create incoming bills (purchases) and outgoing bills (sales)
- Auto-generate unique bill numbers (configurable format)
- Bill entry with date, vendor/customer, amount, tax rate
- Bill status tracking: Draft → Approved → Verified → Finalized
- Edit and delete capabilities with audit trails
- Bulk bill upload (CSV/Excel template)

Invoice Generation

- PDF invoice generation with company header, bill details, itemization
- QR code (placeholder for IRN in Phase 4)
- Invoice numbering scheme (per tenant configurable)
- Download & email invoice functionality
- Multi-language support (English, Hindi)

Line Item Management

- Add multiple line items per bill
- Product/Service description, HSN/SAC code, quantity, rate, tax rate
- Tax calculation per line item (CGST, SGST, IGST)

- Discount support (line-level and bill-level)
- Additional charges (handling, shipping, etc.)

Feature: Dashboard & Reporting (MVP)

Quick Dashboard

- Total bills count (today, this week, this month)
- Total incoming vs outgoing supply value
- Pending approvals count
- Quick bill search

Basic Reports

- Daily/Weekly/Monthly bill summary
 - Vendor-wise bill summary
 - Customer-wise bill summary
 - Tax summary (total CGST, SGST, IGST)
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Feature: Multi-Tenancy & Organization

- Tenant Isolation Row-level security (RLS) for data isolation
- Separate schemas per tenant (or shared schema with tenant_id)
- Separate S3 buckets for document storage per tenant

Organization Setup

- Shop/Organization registration
 - GSTIN configuration
 - Tax regime selection (Regular / Composition / Unregistered)
 - Financial year configuration
 - Company branding (logo, name, address)
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Feature: GST Calculation Engine

Tax Rate Integration

- Integration with FastGST API for real-time GST rates
- HSN/SAC code lookup
- Fetch CGST, SGST, IGST rates by product/service

- Cache tax rates (refresh weekly)
- Manual override capability for rate changes/ambiguities
- Reverse charge applicability (RCM)

Tax Calculation

- Automatic CGST/SGST (intra-state) or IGST (inter-state) calculation
 - Tax on MRP vs Tax on base amount
 - Exempted goods/services handling
 - Nil-rated items
 - Zero-rated (export) items
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Feature: GSTR Return Generation

GSTR-1 (Outgoing Supplies)

- B2B invoices (GSTIN-to-GSTIN supplies)
- B2C large invoices (>₹2.5L per invoice)
- B2C small invoices (summary)
- Export invoices Amendments/Credit notes
- HSN summary (if turnover >₹5Cr)
- JSON generation per GSTN specifications
- Validation against GSTN schema
- Error reporting for invalid records

GSTR-2 Retrieval & Processing

- Download GSTR-2B from GSTN (auto-fetch available data)
- Match with internal purchase records
- Reconciliation dashboard (invoiced vs declared in GSTR-2B)
- ITC eligibility assessment
- Blocked/Reversal scenarios identification

GSTR-3B (Consolidated Liability)

- Auto-generate from filed GSTR-1 and available GSTR-2B
- Manual entry for summary values if needed
- Interest and late fees calculation

- Net ITC available display
- Tax liability summary

GSTR-4 (Composition Scheme)

- Auto-calculation of tax payable based on quarterly turnover
- Composition rate application
- Quarterly filing due dates
- Locked/filed status tracking

GSTR-5 (Non-resident taxable persons)

- Import/export transactions tracking
- Tax liability computation
- JSON generation

GSTR-6 (ITC Reversal)

- Credit note tracking
- Reversal scenarios (personal consumption, taxable + exempted supplies)
- Partial ITC scenarios
- JSON export

GSTR-7 (TDS returns)

- TDS deduction tracking
- Deductor-wise reporting
- Certificate-ready data

GSTR-8 (E-commerce operator returns)

- TCS collection tracking
- Supplier-wise reporting
- Monthly return generation

GSTR-9 (Annual Return)

- Consolidated annual data aggregation
- Details vs Summary reconciliation
- ARN (Annual Return Number) generation

- JSON export
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Feature: JSON Export for GSTN Portal

JSON File Generation

- Generate GSTN-compliant JSON for all return types
- Section-wise JSON export (B2B, B2C-L, B2C-S, Export, Amendments, HSN)
- Automated GST Filling via GSTIN API
- Validation against GSTN schema before export
- Error highlighting with field-level details
- Multiple attempts allowed (overwrites previous)
- Download as ZIP with all sections

Upload Tracking

- Track JSON uploads to GSTN portal (manual tracking)
 - Archive generated JSONs with timestamp
 - Version history of exports
 - Pre-upload validation checklist
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Feature: Compliance Dashboard

Filing Status Tracker

- Due dates for GSTR-1, GSTR-3B, GSTR-4
 - Filed/Unfiled status
 - Pending amendments/additions
 - Late fee calculator
 - Compliance calendar (monthly view)
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Feature: Mobile App (React Native)

Bill Entry on Mobile

- Create bills with camera scan (for bill image capture)
- Manual entry interface
- Auto-fill from vendor/customer master
- GST rate auto-population
- Tax calculation on-device

- Save as draft or submit

Offline Mode

- Sync manager for offline-first capability
- Queue bills for sync when online
- Real-time sync status indicator
- Conflict resolution (server vs local updates)

Dashboard (Mobile)

- Today ' s bills summary
- Pending approvals
- Quick bill search
- Monthly tax summary

Notifications

- GST due date reminders
- Approval notifications
- Sync status alerts
- Bill status updates

Barcode Device Integration

- Integration with external barcode scanners (Bluetooth/USB devices)
- Real-time product lookup using barcode
- Auto-fill product details (price, GST rate, HSN)
- Fast billing for retail environments
- Support for POS-style workflows

Feature: Vendor/Customer Master

Master Data Management

- Add, edit, delete vendors/customers

Vendor profiles:

- Name, GSTIN, PAN, Contact person
- Address (billing, shipping)

- Banking details
- Tax category (GST registered/Unregistered)
- Payment terms (COD, Credit, etc.)

Customer profiles (similar structure)

Vendor classification (supplier type: Raw material, Finished goods, Services)

GSTIN Validation

- Validate GSTIN format
- Optional: Call GSTN API to verify GSTIN status (if available)
- GSTIN search feature
- Duplicate GSTIN prevention

Vendor Analytics

- Total purchases from vendor (YTD, Last 30 days)
- Average invoice amount
- Payment pending tracking
- Vendor-wise tax liability
- Vendor performance scoring

Feature: Bulk Import

CSV/Excel Import

- Template download (Bills, Vendors, Customers)
- Drag-and-drop file upload
- Data validation during import
- Error reporting with line-level details
- Rollback on critical errors
- Success summary with import count

Feature: E-Invoicing & IRN

E-Invoice Generation

- Auto-generate e-invoice JSON for B2B and Export invoices
- Integration with GSTN IRP API for IRN generation
- QR code generation with IRN, GSTIN, invoice details
- Digitally signed invoice (DSC integration)

- E-invoice PDF with QR code embedded

IRN Tracking

- IRN storage with invoice record
- IRN status monitoring
- E-invoice validity tracking
- Duplicate invoice prevention (hash-based)

Digital Signature (DSC) Integration

- DSC certificate upload & storage (encrypted)
- Signature verification
- Signature timestamp
- Audit trail of signed documents
- HSM (Hardware Security Module) integration (optional for enterprise)

Feature: Audit Trails & Compliance Logging

Complete Audit Trail

- Every bill action logged: Create, Edit, Approve, Delete, Export
- User identification and timestamp
- Before/after values for edits
- IP address logging
- Session tracking
- Immutable audit log (append-only)

Digital Signature Verification

- Verify integrity of exported JSON/PDF
- Signature validity dates
- Certificate chain validation
- Revocation checking (optional)

Compliance Reports

- Audit trail export (PDF/Excel)
- Data integrity report

- Access logs (user activity)
- Modification history

Feature: Advanced Compliance

Supply Type Classification

- Auto-classify supplies as SPLY or ISUP (intra-supply)
- Place of supply determination
- Reverse charge applicability
- E-commerce facilitator tracking (if applicable)

ITC Restrictions

- Track blocked ITC items
- Reversal scenarios tracking
- Eligible vs Blocked ITC reporting

Subscription & Payment Module

Subscription Management:

- Multi-plan subscription system
- Monthly / Quarterly / Yearly plans
- Plan configuration (limits, features, pricing)
- Trial period support
- Upgrade / downgrade plans
- Auto-renewal management
- Subscription status tracking

Payment Integration:

- Integration with payment gateways (Razorpay / PayU / Stripe)
 - Secure online payments
 - Invoice generation for subscriptions
 - Payment history & receipts
 - Failed payment retry mechanism
 - Webhook handling for payment status updates
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Testing

Functional Testing

- Bill CRUD, invoicing, GST calculations
- GSTR return generation accuracy
- JSON validation against GSTN schema
- E-invoicing flow
- Bulk import edge cases

Integration Testing

- GSTN API integration (sandboxed)
- Payment gateway testing
- Notification service testing
- SMS/Email delivery

Performance Testing

- Load testing (1,000+ concurrent bills)
- Database query optimization
- API response time benchmarking
- File generation performance (large JSON exports)
- Mobile app performance (battery, data usage)

Security Testing

Penetration testing

- OWASP Top 10 compliance
- SQL injection, XSS, CSRF prevention
- Rate limiting & DDoS protection
- Data encryption verification
- DSC integration security

GST Compliance Testing

- JSON schema validation against GSTN specifications
- Tax calculation accuracy (100+ test scenarios)

- Rounding error handling
- Edge cases (nil-rated, exempted, reverse charge)
- E-invoicing with actual GSTN sandbox
- GSTR-2B download & reconciliation

User Acceptance Testing (UAT)

- 50+ beta users from various industries
- Real-world bill scenarios Feedback collection & iterative fixes
- Performance monitoring

Deployment

Pre-Production Environment

- Staging infrastructure mirroring production
- Data replication setup
- Backup & recovery testing
- Failover testing

Production Deployment

- Blue-green deployment strategy
- Canary release (10% → 50% → 100%)
- Rollback plan
- Monitoring & alerting setup
- Incident response plan

Documentation

- User guides for each role (Admin, Accountant, Viewer)
- API documentation
- System administrator guide
- GST compliance guide
- Troubleshooting FAQ

